

Name of Document	Leave Policy
Version	5.2
State whether Policy/Code/ Manual/ Guideline	Policy
Group Level/ Sector Level (Specify which sector)	Mahindra & Mahindra Ltd
Issuing Authority	Ruzbeh Irani President – Group HR. Member of the Group Executive Board
Owner of the document	Rohit Thakur CHRO-AFS Sakshi Handa SVP – Corporate HR & Group Talent
Effective date of document	1 st August 2020
Release Date	10 th July 2020
Next review date	10 th July 2026

Policy Highlights:

Simplified Leave structure:

- Privilege Leave (PL) for both planned and emergency leaves - 25 days for manufacturing plants and 23 days for the rest of the organization. The carry forward limit is set as 5 days starting 2020. Maximum accumulation limit will be 90 days effective 1st Jan 2021.
- As Exigency Leave (EL) is being merged into PL and SSL, there will be no EL henceforth. The current EL balance will cease to exist.
- Special Sick Leave (SSL) for serious medical exigencies is being liberalized. It now provides for an additional 5 days of SSL plus additional days equal to current EL Balance being lapsed before compulsorily consuming all accumulated PL, followed by 30 days with full pay and 60 days with half pay of SSL.
- Current Maternity and Paternity Leave remains unchanged.

The policy will be applicable to all the officers (from grade L10 O and upwards) of M&M Ltd

1. Privilege Leave:

Conditions	- Leave must be applied and sanctioned in advance unless in case of an emergency in which case the employee needs to inform the manager and then apply at the earliest. - Failure to apply for leave in a timely manner will be considered a Code of Conduct violation and the individual will not be allowed to carry forward any PL in that particular year. - Sanction of leave is at the discretion of the manager
Quantum	25 days for manufacturing plants and 23 days for rest of the organization, for a calendar year effective 1st January 2021. - PL accounting period will be calendar year. - Employees joining and retiring/ separating during the year will get leave on a pro-rata basis - During the first calendar year of joining, it will be credited on a monthly basis at the end of each calendar month.

Availing and Accumulation	- Starting with the calendar year 2020, un-availed annual PL of only up to 5 days can be carried forward to the next year till the maximum accumulation limit is reached. - Rest of the annual PL will be mandatory to be availed during the same calendar year. - Maximum accumulation limit will be 90 days effective 1st January 2021. - Individuals whose PL accumulation is already more than 90 days on 31st December 2020, will have their accumulation capped at the that level. - PL can be availed even for one day. - PL will be admissible on working day basis implying that when availed, intervening offs / holidays will not be counted.
Encashment	After reaching max PL accumulation of 90 days - Up to 5 days of un-availed PL, if any, will be cashed (calculated at PF base on yearly basis. - Encashment amount to be credited in January salary of the next calendar year. - The entire PL accumulation of an individual will get cashed at the time of separation / retirement from the organization as per current practice. The encashment calculation will be made @ PF base pay.

2. Special Sick Leave (SSL):

Conditions	- Applicable for self only in case of serious medical ailment requiring hospitalization or resulting in immobilization for a long period - Sanction of this leave is discretionary based on the above condition and can be approved by the CHRO in consultation with Chief Medical Officer (CMO) / Authorized Medical Practitioner of the company - The quantum of this leave will be determined on merit of the case and subject to the above two conditions.
Quantum	The quantum of leaves will be sanctioned and regulated in the following sequence: 5 days of SSL with full pay - Additional SSL to the extent of EL balance being lapsed on 1st August 2020, if applicable for that individual - All accumulated PL of that individual 30 days SSL with full pay 60 days SSL with half pay
Availing	- The SSL will be on working day basis implying that when availed, intervening offs / holidays will not be counted. - It can be sanctioned in parts / staggered manner if the medical situation so arises.

3. Maternity Leave (ML):

Conditions	Applies to expectant or new mothers who require time off for pregnancy, childbirth and childcare. - Maternity–26 weeks - Miscarriage (excluding Dilation & Curettage procedure (D&C)) – 45 days leave - Further PL can be availed after exhausting the applicable Maternity Leave subject to prior approval of the Sector HR Head. Grant of such additional leave is discretionary and not automatic. 26 weeks of maternity leave in following circumstances: - For adoption of a child below the age of three years. It is calculated from the date the child is handed over to the adopting mother.
-------------------	--

	○ On becoming a Commissioning mother (a woman who uses her egg to create an embryo implanted in any other woman). It will be calculated from the date the child is handed over to the commissioning mother. • All women employees shall be intimated of the benefits of the Company's Maternity Benefit Policy at the time of their initial appointment. Any provision which is not specifically covered in this or any of the other HR policies will be in line with the provisions of the Maternity Benefit Act, 1961.
--	--

4. Paternity Leave

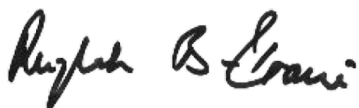
Conditions and Availing	• Male employees can avail 5 days of Paternity Leave in a period of 3 months preceding or succeeding the birth of child and must be taken in single block. • Applicable for up to 2 children. • The Paternity Leave will be on working day basis implying that when availed, intervening offs / holidays will not be counted.
--------------------------------	---

The above leave rules supersede all leave rules framed by the company, excepting the PL related rules which come into effect from 1st January 2021 and will come into force from 1st August 2020. Further, the company reserves its right to add to / alter / amend / withdraw the aforesaid rules at its discretion as it may deem fit and proper.

Composite nature of Leave Rules as above:

- The Leave Rules of the company as above is a composite one and cannot be split or looked at in parts for any other purpose. In case an officer likes to avail of leave under any local statute applicable by virtue of his/her location of posting, then the company's leave rule, will not be applicable to him/her. In such case the working hours and weekly offs also will be as per the statute and not as per company rules.
- The officer must therefore avail leave either as per company's leave rules or as per statute and not best of both.
- Once an officer has opted to avail the leave under the company's rules, he/she will be bound by the company's leave rules if he/she is in employment of the company.
- If for any reason the company is required to extend the statutory leave rules, then the company's rules shall ipso facto stand withdrawn from that date.

Taxation: The above rules are subject to taxation where applicable, as per the relevant provisions of the Income Tax Act and the Rules framed thereunder



Ruzbeh Irani
President - Group HR
Member of the Group Executive Board